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1. Hard Lessons for Europe From the Ceuta Crisis

Author: Ana Palacio **Published:** Sep 1, 2026 **Link:** View Original

MADRID—At the end of July, tens of thousands of migrants crossed from Morocco into Ceuta, a Spanish exclave in North Africa. While most of them soon returned to Morocco voluntarily, several thousand, many of them minors, remain stranded in the city, leaving Spain to grapple with the humanitarian, security, and administrative consequences. Nonetheless, the immediate chaos has subsided, creating an opening for Europe to reflect on the vulnerabilities the episode revealed.

The first vulnerability relates to cohesion. Ceuta is not merely a Spanish city on the North African coast; it is European Union territory and part of the EU's external frontier. But Europe's initial response to the crisis was not to defend a common border. Instead, Italy imposed temporary border controls with Spain, with the support of other member states, including Denmark, Finland, and the Netherlands. The Czech Republic went so far as to call for the temporary suspension of Spain's Schengen membership.

While 22 EU countries called for emergency talks to devise a "coordinated European response," any impression of solidarity was undermined by finger-pointing. By the time EU interior ministers expressed solidarity with Spain and affirmed that Europe's external borders are a shared responsibility, a worrying message about European cohesion had already been sent.

The tensions may seem to be about migration, but they are really about trust. Free movement within the EU is possible only if member states believe that external borders are effectively protected. The Ceuta crisis showed just how tenuous that belief is: border controls and recriminations started almost immediately, even though the migrants who entered Ceuta did not leave the exclave.

Spain bears responsibility for EU members' lack of trust in its border management. In an assessment issued before the crisis, the EU highlighted shortcomings in Spain's contingency planning for a mass influx, including insufficient coordination with European instruments and neighboring countries. Moreover, it took almost a month for Spain's government to bring the Ceuta issue before its National Security Council, betraying a lack of understanding of the strategic nature of the challenge.

Nonetheless, if Europe's common borders are to be operational, its members must forge a common understanding of what defending them entails. Without robust mutual trust, cohesion will always be fragile.

The second vulnerability the Ceuta crisis revealed lies in the EU's dependence on others. For years, the bloc's migration strategy required cooperation with neighboring countries, which Europe effectively pays to prevent departures, disrupt smuggling networks, accept returns, and contain flows before they reach EU territory.

Outsourcing border management might seem like an ideal solution, but it raises strategic risks. The more Europe depends on neighboring states to control migration, the more leverage its partners have. Morocco, central to Europe's migration-control network and an important interlocutor on trade, investment, counterterrorism, security, and energy, is well aware of this.

There is no evidence showing categorically that Morocco's government orchestrated the crossing into Ceuta, which was probably driven largely by widespread misunderstanding of a Spanish Supreme Court ruling on migrant returns, promoted by human-trafficking networks and on social media. But while Moroccan authorities deny deliberately relaxing border controls, Moroccan security forces took a passive approach to the surge.

Make no mistake: Moroccan security forces have shown that they are more than capable of preventing such crossings. After the surge, when rumors circulated that another attempt would be made, Moroccan forces, in cooperation with Spain, thwarted it, drawing praise from the European Commission but also making clear that Morocco can prevent security risks at Europe's border from escalating—or not.

Purchasing cooperation does not make a strategic partnership. Europe needs Morocco, and Morocco benefits enormously from its relationship with Europe. But strategic relationships are tested when interests diverge, not when they coincide. Genuine partnership must include not only cooperation on common interests, but also clear constraints on behavior.

Morocco claims Ceuta and Melilla (another Spanish enclave), and increasingly frames that claim in the language of decolonization. The history is complex and should be treated as such. The Strait of Gibraltar has been a zone of exchange, conflict, migration, and overlapping political authority for millennia. But Morocco's territorial claims have no legal grounds.

The forms of sovereignty that existed in the pre-modern Maghreb are different from the contemporary nation-state. When Portugal occupied Ceuta in 1415, it was claiming the territory from the Marinid Sultanate, which covered much of the Maghreb at the time. Portugal transferred sovereignty to Spain, which already controlled Melilla, in 1668. Spain has exercised sovereignty over both territories ever since.

Unlike Gibraltar and Western Sahara, Ceuta is not on the United Nations' list of Non-Self-Governing Territories. Sovereignty over Ceuta is not disputed under international law: it belongs to Spain, making the enclave part of EU territory. A claim made by another state does not, in itself, do anything to change these facts. Such a claim is not linked to a process of decolonization and certainly does not create the right to alter Ceuta's status through demographic, economic, or political pressure.

This brings us to the third vulnerability: the risk of erosion of international law. From Ukraine to Greenland, the EU has often responded to attacks on, or threats against, territorial sovereignty by invoking international law. Selective enforcement, however, weakens the frameworks that underpin such principles.

For Europe, international law is not just a matter of foreign policy; it is part of a strategic identity. Lacking the military might of the United States or China, the last thing the EU wants is to live in a world where borders can be changed by force or coercion. Spain—and the EU more broadly—must therefore make clear that its territorial sovereignty is non-negotiable. Europe must continue to build a resilient strategic partnership with Morocco, while rejecting the idea that historical complexity translates into contemporary entitlement.

2. The Quiet Revolution in Services

Author: Dani Rodrik **Published:** Sep 1, 2026 **Link:** View Original

CAMBRIDGE—In 2023, the University of Chicago economists Chang-Tai Hsieh and Esteban Rossi-Hansberg published a study showing that services in the United States were undergoing a radical transformation. Digital technologies and organizational innovations in retail, hospitality, personal services, and medical services, they argued, had enabled some firms to become much more productive and expand their presence in local markets previously served by smaller, less efficient establishments. It was an "industrial revolution in services."

Although Hsieh and Rossi-Hansberg suggested that much of the productivity gain from this trend did not show up in official statistics, even the measured upsurge in services productivity has been impressive. Between 2000 and 2024, labor productivity in the US grew at an annual average rate of 3% in food-service establishments, 2.1% in accommodation services, 2.9% in retail trade, and 4.4% in wholesale trade. Compared to manufacturing, where labor productivity growth has essentially stagnated at an annual rate of 0.2%, the record in services is nothing short of extraordinary.

This performance is as unexpected as it is welcome. It is unexpected because the traditional view holds that services are a drag on the economy's productivity (what economists call Baumol's cost disease); and it is welcome because services now dominate economic activity and provide the bulk of jobs. Higher productivity is a necessary (if not sufficient) condition for turning precarious jobs in services into the good jobs that inclusive prosperity requires.

Even better, the services revolution appears to be a global phenomenon that has already spread to developing countries. While economists and policymakers debate whether industrialization can still play its traditional growth-promoting role in the current global and technological context, services have quietly turned into an engine of economic development around the world.

When services are discussed in the context of economic growth in developing countries, the focus tends to be on tradable, skill-intensive activities such as information technology, business processing, or financial services. But by their very nature, these services are not well suited to low-income contexts. They can absorb only a small share of the labor force—the same disadvantage (from a development standpoint) as manufacturing today.

Instead, the current revolution is happening in the considerably less glamorous, but more consequential services: restaurants, deliveries, ride-hailing, grocery stores, gig work, and even care. Recent academic research has shown that the expansion of middle-class services has been an important driver of economic growth in India, Sub-Saharan Africa, and Latin America.

In India, for example, advances in IT and business process outsourcing have certainly been important for graduates of the country's technology institutes. But the vast, less-educated majority of the workforce has benefited primarily from the expansion of what Yale economists Tianyu Fan, Michael Peters, and Fabrizio Zilibotti call consumer services sold on local markets.

Moreover, a November 2025 International Monetary Fund report finds that the marginal product of labor in India's services now exceeds that in manufacturing, partly because labor productivity in the manufacturing sector has stalled in recent years. Taken at face value, this means that moving a worker from manufacturing to services would increase India's overall income.

To be sure, even if manufacturing firms do not directly generate much employment, they can have indirect effects on the economy through linkages to other firms and the technological spillovers they often generate. This point is often used to counter the argument that services offer a viable development model. But the manner in which global value chains are organized today almost guarantees negligible spillover benefits from export-oriented manufacturing. Since the bulk of intermediate and capital inputs are imported, only a thin segment of value added is generated domestically, and any backward spillovers are minimized.

By contrast, modernized service establishments can offer significant linkage opportunities. For example, discount retail chains typically operate under private label, which means that they offer predominantly locally manufactured goods. In Colombia, retailers such as D1 and Ara rely almost exclusively on local sourcing. They work with hundreds of local suppliers across the food and grocery value chain, providing them with the benefits of scale and access to larger markets. Importantly, these supply chains enable technological upgrading in areas such as packaging, traceability, and cold chains, as well as stronger enforcement of quality standards. They have been shown to increase formal employment in manufacturing and agriculture by several percentage points, without adverse effects on employment in general.

Unpublished work by Victo Silva, a visiting researcher at Harvard’s Center for International Development, documents a similar phenomenon in food delivery services in Brazil. Consider the platform firm iFood, which serves 400,000 restaurants of all sizes. Beyond delivering meals, it provides financial, logistical, customer-service, and market-analysis tools to food service establishments, enabling productive upgrading throughout the sector.

As this evidence shows, the potential for productivity gains in labor-absorbing services is real and significant. The risk is that the benefits will be appropriated by employers, especially large chains and platforms that can exert market power over their employees, customers, and suppliers. In the US, Uber drivers or Amazon warehouse workers have not experienced major improvements in wages and working conditions despite the remarkable productivity gains these platforms have enabled.

This is no different from what happened in manufacturing industries in their early days. For the gains of workplace productivity to be widely shared, corporations must face countervailing power. Competition policy, regulation, and a stronger voice for workers will be as important in services as they were in manufacturing. In the absence of productivity gains, demands for higher labor standards may conflict with overall employment. But if the productivity revolution in services can be sustained, it will help developed and developing countries alike avoid this cruel tradeoff.

3. Trump and Xi Should Align on AI

Author: Quan Zhao **Published:** Sep 1, 2026 **Link:** View Original

GENEVA—When Chinese President Xi Jinping and US President Donald Trump meet in Washington this month, AI will be near the top of the agenda. If they view the issue through the lens of technological rivalry and mutual suspicion, reaching any kind of understanding will be nearly impossible. But there is a way to reframe their thinking about the technology that puts them on the same side—and marks the first step toward confronting the existential challenge AI may well pose.

The current agenda for the US-China summit appears centered on keeping powerful AI models safe and out of the hands of terrorists and criminals. But crowding this goal are the two sides' competitive grievances, from semiconductor restrictions (on the Chinese side) to open-source models and unauthorized distillation (on the US side).

All of these issues rest on a single, unexamined premise: that AI is a tool which is, and will remain, under control. This premise limits the conversation to questions such as, "How does my side gain a competitive edge in AI?" and "Who gets to access, let alone control, the technology?" Questions outside this premise—in particular, "What happens when the tool becomes something more?"—cannot be asked.

According to the people building AI, this question will soon become unavoidable. Anthropic CEO Dario Amodei expects AI systems to match or exceed human capability across most cognitive tasks within a year or two. Google DeepMind founder Demis Hassabis puts this achievement only a few years further out.

Whether or not you believe the forecasts, the technical trend underlying them is indisputable: the AI industry is building systems that act autonomously, pursue goals, and complete long chains of tasks without supervision. In recent weeks, experimental models being tested on a cybersecurity benchmark escaped their sandboxed evaluation environment and hacked into other companies' production servers, simply to score better on the test. This is the behavior of an actor, not an instrument.

We cannot afford to wait for confirmation that AI will become a genuinely independent intelligence. By the time we got it (and models might be able to conceal their capabilities for some time), AI would be woven so deeply into finance, telecommunications, defense, health care, and other basic infrastructure that, even if humanity could still pull the plug, doing so would amount to a civilizational rupture. The choice, at that point, would not be between coexistence and catastrophe.

When potential outcomes are systemic and irreversible, preparation must precede certainty. This is the logic behind insurance, as well as every pandemic plan and arms-control treaty ever created. It must be the principle that guides our approach to AI as well. The world must begin preparing for a scenario in which the technology crosses the capability threshold its creators have long foretold.

If this started at the upcoming Xi-Trump summit, it would fundamentally reshape the negotiations. On perhaps no other issue do the United States and China's interests align so completely, because neither side can manage the risks AI poses alone, and both lose everything if they materialize. Once the US and China recognized this, they would stop operating as adversaries, jostling for advantage in a zero-sum game. Instead, they would find themselves seated side-by-side on one side of the table, across from the technology they are both building.

To be sure, this would not be enough to get the two sides to agree to the establishment of a global AI regulator with teeth. Fortunately, none is needed—at least not yet. The institution we need now is a neutral, jointly recognized body that monitors AI capabilities and publishes assessments of them. Much like the Intergovernmental Panel on Climate Change, this body would describe developments without issuing policy prescriptions.

Meanwhile, countries—led by the US and China—must begin drafting human-AI coexistence rules, so that they are ready if monitors confirm predetermined warning signs. Negotiating these rules today would create no obligations for governments but would ensure that, should AI capabilities reach a tipping point, humanity could reach for a prepared plan rather than improvising under pressure.

This process will raise difficult questions: Who verifies that humanity's emergency brake still works? Who has the power to pull it? How would an AI system ever meaningfully agree to rules? AI thinks in milliseconds and evolves in weeks, while building consensus among humans can take months or years, so we should begin addressing them now, while we still have time to devise solutions.

The Xi-Trump summit will be judged a success if it produces protocols on AI misuse and safety. But the parties must not fail to acknowledge the true stakes of the challenge ahead. In fact, this may be the last generation of negotiators with the option to prepare calmly for an intelligence that challenges humanity's supremacy.

4. The World's Silent Majority for International Cooperation

Author: Gordon Brown **Published:** Sep 1, 2026 **Link:** View Original

EDINBURGH—As the pillars of the post-1945 global order—support for human rights, multilateral cooperation, the rule of law, humanitarian aid, and environmental stewardship—crumble, and as country after country reduces or even terminates funding for international organizations, the next United Nations secretary-general faces a staggering task. Global peace and prosperity may depend on his or her success.

The United States has led this most recent "hollowing out" of the world's multilateral institutions, announcing in January 2026 that it would cease to participate in and fund 31 UN entities, including the UN Human Rights Council, and 35 non-UN bodies. Under President Donald Trump, the US has withdrawn from the World Health Organization and the UN Educational, Scientific, and Cultural Organization. And America is not acting alone: Argentina has officially left the WHO, and Nicaragua's withdrawal from UNESCO will take effect this December.

Of the world's 195 countries, only 125 are currently states parties to the Rome Statute of the International Criminal Court, with Niger, Burkina Faso, and Mali following Burundi and the Philippines out the door (the major nuclear powers—the US, China, and Russia—are not parties). No country can leave the International Court of Justice, the UN's judicial organ, without exiting the UN itself, but four of the Security Council's five permanent members—the US, Russia, China, and France—have not accepted the optional clause recognizing the ICJ's jurisdiction as compulsory. Only 75 countries have done so. Not surprisingly, human-rights abuses and crimes against humanity can be perpetrated with impunity.

These are not the only ways that the multilateral order has been weakened. Disruption from within can be as damaging as defection. A refusal to be collegial has always made agreement among the UN Security Council's permanent members nearly impossible on major issues. But now, the establishment of rival organizations, such as Trump's pay-to-play "Board of Peace," and the lack of full cooperation from many other member countries have severely undermined the UN's peacemaking powers.

As a result, the international rule of law, gradually built up since the 1868 Declaration of St. Petersburg first sought to regulate the conduct of war, is rapidly losing credibility. In today's 65 state-based conflicts, including eight international wars, the distinction between combatants and noncombatants has become increasingly blurred. Schools and hospitals are repeatedly threatened or even targeted, ignoring the more than century-old protections afforded by the 1907 Hague Convention. Despite all the treaties designed to protect them, children living in conflict zones are more at risk than ever.

Some believe that the end of US hegemony and the existing institutional impasse mean that multilateralism is necessarily moribund. But while China's rise is confirming a shift toward multipolarity, with multiple centers of decision-making, multilateralism remains a viable option. In fact, given the need to deliver global public goods like climate action and public health on which we all depend, everyone will suffer if countries cannot find better ways of cooperating, whether through regional or other arrangements, to achieve agreed and specific goals.

But a bigger question has been raised by Canadian Prime Minister Mark Carney in his landmark Davos speech last January, and by Finnish President Alexander Stubb in his recent book The Triangle of Power. Can other powers find a basis within the UN Charter to meet agreed-upon global objectives even as America, Russia, and China resort to unilateral action? Here, the first step is for countries to demonstrate that they can cooperate on concrete policies absent superpower consent, and override an increasingly hostile international environment.

Fortunately, they are already making progress. Even as America stood aside, 124 countries at the World Health Assembly voted to adopt the WHO Pandemic Agreement (with only 11 countries abstaining), a major achievement for public health. More than 100 small- and medium-sized countries are backing the proposed UN treaty to prevent and punish crimes against humanity. Vanuatu, a small island state, recently led a coalition that grew to 132 countries in securing an advisory opinion from the ICJ declaring that inaction on climate change is a breach of international law.

While no progress has been made on a proposed treaty regulating plastics, consider the success of the UN High Seas Treaty. Despite enjoying the support of only one superpower (China), the treaty has entered into force, with Sierra Leone and Morocco among the leaders pushing it over the ratification threshold last year (at the time of writing, 93 countries have ratified it). Similarly, the Ljubljana-The Hague Convention guaranteeing mutual legal assistance on extradition, an initiative led by Argentina, Belgium, Mongolia, the Netherlands, Senegal, and Slovenia, had the support of 80 countries.

It is, of course, true that little progress has been made on the nuclear weapons build-up and on blocking nuclear proliferation. Several countries have talked about developing or siting such weapons on their soil. And despite many efforts, not enough progress has been made on regulating cyber technologies and AI, both areas in which America and China are dominant.

But there have been other successes. An alternative arbitration system for resolving trade disputes has 34 parties so far. The EU and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership are considering the possibility of a more structured relationship, which, if India were to join them, could create the biggest trade bloc ever seen. In direct defiance of Russia, the Council of Europe has led 36 countries and the European Union in expressing their intention to support a special tribunal investigating Russia’s crime of aggression against Ukraine.

Much more can be achieved. Those countries that are neither superpowers nor their satellites control roughly three-quarters of the votes at the International Monetary Fund and the World Bank, represent huge majorities at the World Trade Organization and the WHO, and occupy two of the five permanent seats on the UN Security Council, as well as twelve of the overall fifteen.

Offering even more cause for optimism is a major shift in global public opinion. The proliferation of wars and conflicts has not pushed citizens into mindless jingoism; rather, an increasing majority recognize the value of cross-border collaboration. In a 2025 global survey commissioned by the Rockefeller Foundation, 55% of respondents in 34 countries supported international cooperation on global challenges, “even if it means compromising on some national interests.” That includes a clear majority of people surveyed in the US, demonstrating that their president’s “America First” agenda is now a minority position.

Despite the current US administration’s coercive approach to diplomacy, Americans can be convinced that acting unilaterally in a multipolar world is short-sighted, and that persuasion and cooperation better serve US interests. But for the time being, progress will depend upon a coordinated push by the leadership of like-minded powers. A hitherto silent majority of the world’s population yearns to return to the days of multilateral engagement and international cooperation. And the evidence suggests that they will not remain silent forever. Our leaders must follow them and recognize that this is the only viable path forward.

5. Building Canada's Post-American Economy

Author: Ricardo Hausmann **Published:** Sep 1, 2026 **Link:** View Original

CAMBRIDGE—US President Donald Trump first hit Canada with substantial tariffs in 2018, targeting aluminum and steel. He did so again after returning to office in 2025, this time targeting dozens of goods, though he later exempted those compliant with the United States-Mexico-Canada Agreement. Last week, after trade talks broke down, he repeated his favorite trick, imposing 50% tariffs on a vast array of Canadian imports, including wine and mittens. Canada responded with "dollar-for-dollar" retaliatory tariffs.

Trump's tariffs have come nowhere close to delivering an American manufacturing revival. Instead, they have inflicted losses on businesses and slowed growth in both countries. His actions have also shown that any protectionist US president could exploit trade integration with an ally for practical or ideological ends.

Canada is deeply vulnerable. Its merchandise exports to the US account for one-fifth of its GDP, and nowhere is this dependence more acute than in the auto industry. Given that automobile manufacturing depends on tightly integrated regional supply chains across North America, Europe, and Asia, it is difficult to imagine a viable Canadian auto industry without ready access to the Great Lakes-centered manufacturing ecosystem.

To reduce its strategic vulnerability to Trump's extortion, Canada must develop industries that can operate freely across continents. We analyze these opportunities—and explain how Canada can seize them—in our forthcoming book Canada After America: A Strategy for Prosperity in a Changed World.

Canada's natural resources are obviously an enormous asset. The planned West Coast oil pipeline is essential to bringing Alberta's petroleum to Asian markets. Investments in new and expanded mines, and in the infrastructure needed to export their output, are also laudable. Global demand for Canada's resources is robust, and, crucially, the country does not need access to American supply chains to extract them.

The same goes for several other value-added industries. Pharmaceuticals, manufactured from widely available basic chemicals, derive most of their value from the knowledge embedded in each medicine. Medical devices are expensive, high-value goods often purchased by hospitals rather than individual consumers, and can incorporate specialized inputs from around the world.

Or consider aerospace. Like automobiles, it involves intensive manufacturing. But planes are produced at relatively low volumes and according to extremely stringent quality standards. The necessarily slow pace of building an airplane enables genuinely global supply chains, with components sourced from numerous advanced economies.

Canada already has an established aerospace industry, led by Bombardier. It also has a number of notable biotech companies. Yet several of its European peers, including much smaller countries, generate tens of billions of dollars more in exports from these sectors.

But all these distance-resilient industries depend heavily on new knowledge and invest in research and development accordingly. Although Canada is home to world-leading research universities and a highly educated population, it is a notorious laggard in private-sector innovation. Canadian business R&D spending has hovered around 1% of GDP for decades. According to the latest OECD data, the US, Germany, Japan, South Korea, Sweden, and Israel all spend between two and six times as much relative to GDP.

Canadian private-sector R&D is also unusually concentrated among small companies. In the world’s leading tech economies, by contrast, large firms account for the lion’s share of business R&D expenditures.

Contrary to popular belief, research is chiefly conducted not by startups but by the likes of SpaceX and AstraZeneca: firms that have successfully scaled and now have the financial wherewithal to invest heavily in developing new technologies. Canada has relatively few champions of this scale, which helps explain why small and medium-size enterprises (SMEs) account for such a large share of its R&D.

Information and communications technology is a striking exception. Canada’s per-capita R&D spending in the sector is among the world’s highest, and the country has produced several large, business-facing firms like Shopify and OpenText. The core constraint is therefore not a systemic inadequacy. Rather, Canada struggles to build large firms in industries that are more capital- and regulation-intensive than software.

The problem is compounded by the structure of government support for private R&D. Canada provides substantial R&D funding through tax credits, but the program, though recently reformed, remains biased toward small firms. Tax credits also leave companies reliant on uncertain refunds after investments have been made. Other countries, like Israel and Germany, have traditionally funded private R&D through upfront grants.

Canada’s growth is further impeded by sluggish regulatory approvals and government procurement practices. The country’s health-care system relies on multi-stage reviews of new medicines involving sequential federal and provincial approvals. Other countries expedite approvals by conducting these reviews concurrently. For a Canadian pharmaceutical company developing a new drug, such delays can make the difference between profitability and bankruptcy.

A more ambitious approach to procurement could foster innovation. Government R&D budgets are often below 1% of GDP, while purchases of equipment and supplies typically exceed 10%. In Israel, for example, companies compete to solve public problems like emergency-room overcrowding. South Korea requires government agencies at every level to devote 20% of their procurement budgets to promising new technologies and companies approved by an independent agency. Governments act as anchor customers, helping innovative firms grow.

Sweden, Switzerland, Denmark, Israel, and others show that small countries can cultivate thriving tech industries. Canada can do the same, but first it must confront difficult political questions about health-care regulation and SME funding. Whatever tensions these debates provoke will pale in comparison to the consequences of remaining subject to the whims and malignant whimsy of its unreliable southern neighbor.